CHURN IS DEAD

The Inherited Number Audit

Split your NRR into what pricing fixed and what your team can actually move

Most of your NRR was decided in a pricing meeting you were never invited to. This audit helps your CS team separate the portion of the target that's structurally fixed from the portion you actually influence — and build the evidence to earn a voice in packaging.

Scoring: Rate each item 1-5. 1 = not happening, 5 = embedded in operations.

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SECTION 1

1. The Floor You Didn't Set (The Architecture Line)

Most of your NRR is fixed by switching cost, contract structure, and pricing model before a CSM opens their laptop. If you can't separate the architecture-fixed portion from the CS-influenceable portion, you're defending a number you don't control.

Criteria	What Good Looks Like	What Bad Looks Like
Gross retention floor is calculated per account	You know the switching-cost-driven floor for each account before any expansion is layered in	You track only a single blended NRR number with no floor decomposition
Baseline expansion is separated from CS-driven expansion	You distinguish seat growth from the customer's own hiring vs. expansion your team actively drove	All expansion is credited to CS effort regardless of source
Portfolio NRR is split into architecture-fixed vs. CS-influenceable	You can state the split, e.g. 'of our 95% target, ~90 points are architecture, ~5 are us'	Leadership treats the full NRR target as a scoreboard for CS execution
The pricing model's structural ceiling is documented	You know how seat-based vs. usage-based structure caps your achievable NRR	Nobody has quantified how the pricing model limits the upside
The split informs target-setting conversations with finance	CS presents the architecture line when NRR targets are negotiated each cycle	CS accepts inherited targets with no reference to the structural floor

Score This Section

Criteria	Score
No decomposition exists; NRR is one blended number	1
Floor is estimated informally for a few accounts	2
Architecture-fixed vs. CS-influenceable split done for the portfolio once	3
Split is refreshed regularly and reviewed with leadership	4
Split drives target-setting and finance conversations every planning cycle	5

Your Score: ____ / 5

SECTION 2

2. The Seat Cannibal

Agentic AI has decoupled satisfaction from seat count. Accounts can contract while value rises — the customer automated the very users your contract was built to bill. Tagging these separately stops leadership from misreading them as CS failures.

Criteria	What Good Looks Like	What Bad Looks Like
Contracting-but-healthy accounts are flagged	Accounts with high usage, strong sponsor, positive sentiment, and shrinking seats are tagged as a distinct category	Every contracting account is lumped into churn risk regardless of health signals
Seat cannibals are excluded from CS failure reporting	Leadership reads these as pricing-model evidence, not team performance misses	Shrinking seats always count against the CSM's numbers
AI-driven seat reduction is identified as the cause	You confirm the customer deployed agents/automation that collapsed the team using the product	Seat drops are assumed to be dissatisfaction by default
Seat cannibals trigger a repricing conversation, not a save play	When flagged, the account routes to a value-repricing discussion instead of a retention play	You run adoption plays against accounts that already adopted completely
Seat cannibals feed the pricing evidence file	Each flagged account becomes documented proof the model is mispriced against value	The pattern is never aggregated or surfaced to pricing owners

Score This Section

Criteria	Score
Healthy contractions are indistinguishable from churn risk	1
A few seat cannibals noticed anecdotally	2
A formal 'contracting on healthy signals' tag exists	3
Tagged accounts are excluded from failure reporting and routed to repricing	4
Seat cannibals are systematically flagged and feed the pricing argument	5

Your Score: ____ / 5

SECTION 3

3. The Outcome Ledger

Seats were always a billing convenience standing in for value. AI exposed the stand-in. To build a higher-ceiling model you must instrument the business result the customer actually bought — not product usage.

Criteria	What Good Looks Like	What Bad Looks Like
Value is measured as business outcome, not usage	You track hours saved, tickets deflected, revenue influenced, cycle time cut	Your value story is logins, feature adoption, and seat activity
The outcome maps to what the economic buyer bought	Each account has a documented outcome the buyer recognizes as the reason the tool exists	The metric you report is one no economic buyer would care about
Outcomes are instrumented, not anecdotal	Outcome data is captured systematically and refreshed per account	Outcomes are quoted only in occasional QBR slides from memory
The ledger holds up as value evidence even when seats fall	You can show rising delivered value against falling seat count	When seats fall, you have no counter-evidence of value delivered
The ledger is maintained across the portfolio	Every strategic account carries a live outcome record	Only a handful of showcase accounts have outcome data

Score This Section

Criteria	Score
Value tracked purely as product usage metrics	1
Some outcome data collected ad hoc for QBRs	2
Outcome ledger exists for key accounts	3
Outcomes are instrumented and buyer-recognized across the book	4
Outcome ledger is live, systematic, and central to every value conversation	5

Your Score: ____ / 5

SECTION 4

4. The Pricing Seat

> The real NRR lever lives in packaging decisions, not QBRs. The outcome ledger is the artifact that earns CS a voice in the pricing room where the number is actually set.

Criteria	What Good Looks Like	What Bad Looks Like
CS has a formal channel into packaging decisions	CS is invited to pricing/packaging reviews with data in hand	Pricing is set entirely without CS input
The outcome ledger is presented as the pricing case	CS brings quantified value evidence, not opinions, to model changes	CS argues for pricing changes on gut feel or single anecdotes
Seat-cannibal evidence drives model recommendations	Aggregated seat cannibals are used to propose outcome- or usage-based structures	Mispricing evidence never reaches the people who own the model
Architecture line reframes NRR accountability	Leadership accepts that a portion of the target is unwinnable by execution alone	CS is still measured on the full inherited number as a pure execution metric
Repricing conversations have a defined script	CSMs know how to convert a seat cannibal into a value-repricing discussion	There is no playbook for turning value into a pricing conversation

Score This Section

Criteria	Score
CS has zero input into pricing decisions	1
CS occasionally flags concerns but with no data	2
CS brings some outcome evidence to pricing discussions	3
CS has a seat at packaging reviews backed by the outcome ledger	4
CS-driven evidence actively shapes the pricing model and NRR accountability	5

Your Score: ____ / 5

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Your Scorecard

Dimension	Your Score	Max
1. 1. The Floor You Didn't Set (The Architecture Line)	____	5
2. 2. The Seat Cannibal	____	5
3. 3. The Outcome Ledger	____	5
4. 4. The Pricing Seat	____	5
TOTAL	____	20

Total Score	Assessment	What It Means
16-20	Uncuttable	Embedded, measurable, strategically irreplaceable.
12-15	Defensible	Solid but gaps remain. Focus on lowest dimension.
8-11	Vulnerable	Real risk ahead. Treat as urgent.
4-7	Critical	Cannot survive scrutiny. Major changes needed.

What to do next: Take your lowest-scoring section and build a 30-day action plan. One at a time. Then share this with leadership -- not to ask permission, but to show you know where the gaps are.

You don't own NRR. You rent it. And the landlord is Pricing.

-- Kuber

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